

6	30-2022-01266721 The Moad Group, Inc vs. GP DEV, LLC	Before the Court are two Motions to Compel, filed by Defendant RV Dev LLC (“Defendant”) on 5/16/23. The Motion filed as ROA 103 is directed to Plaintiff Bren Development and Investments LLC (“BDI”), and concerns Request for Production (“RFP”) Nos. 11-15 (“Motion 1” below). The Motion filed as ROA 99 is directed to Plaintiff The Moad Group, Inc. (“TMG”) and concerns RFP Nos. 11 and 13 (“Motion 2” below). As a preliminary matter, Plaintiffs do not appear to have adequately met and conferred with Defendant to attempt to resolve this dispute, Specifically, it appears from the Opposition that: (a) Plaintiffs are asserting that they were obligated under the “agreement” at issue to fund only the first and second deposits under the two relevant purchase and sale agreements, in the maximum total sum of \$600,000; (b) Plaintiffs are not asserting that they personally had sufficient resources to fund those first and second deposits: they instead are asserting only that they had third party investors available who were willing to do so; and (c) Plaintiffs are representing that they have already produced the entirety of the documentary evidence upon which they will rely to support their claim that they were “willing, able and ready to perform” under that “agreement.” Yet Defendants’ Reply states that a stipulation along these lines was rejected. If Plaintiffs are indeed taking these positions, it would appear that a stipulation to that effect would have resolved this dispute. The court requests that the parties inform the court prior to the hearing if the parties reach a stipulation that resolves this dispute. The court will then take the matter off calendar. In any event, as no such stipulation has been presented, the Court has ruled upon the Motions as follows. <u>On Motion 1</u>, the Motion is GRANTED IN PART. Plaintiffs have objected to the discovery at issue based on financial privacy interests. Where privacy rights are asserted in discovery, the party asserting a privacy right must establish
---	--	---

		a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. The party seeking information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. A court must then balance these competing considerations. (<i>Williams v. Superior Court</i> (2017) 3 Cal.5th 531, 552, citing <i>Hill v. National Collegiate Athletic Assn.</i> (1994) 7 Cal.4th 1, 35.) Here, Plaintiffs have identified a legally protected privacy interest in their financial information, and have shown a threatened intrusion that is serious. But to the extent that they are basing their claims on their own financial resources, they have not shown an objectively reasonable expectation of financial privacy for the period at issue. Absent a stipulation that they are not basing their claimed ability to perform on their own financial resources, Plaintiffs have put their financial ability to perform directly at issue. Defendant thus has a legitimate and important countervailing interest in the material at issue. And as there is a Protective Order in place (ROA 27), protective measures are already in place to diminish the potential loss of privacy. However, as the definition for “YOU” in the RFPs includes BDI’s “employees and Steven Bren,” the RFPs are effectively attempting to include a demand for individual non-party consumer information therein. To the extent that the RFPs at issue purport to extend to those non-parties, the Motion is DENIED. The Motion is otherwise GRANTED IN PART as to RFP No. 11. BDI must produce responsive documents for all sources of capital or funding upon which it relies in asserting that it was ready, willing, and able to perform, except to the extent that the RFP potentially extends to Plaintiffs’ tax records. The Motion is DENIED as to RFP Nos. 13 and 15, as Defendant has not shown why Plaintiff’s tax records are essential to Defendant’s discovery efforts. The Motion is GRANTED as to RFP Nos. 12 and 14, for the years 2020 and 2021, but DENIED for the year 2019 as
--	--	--

		Defendant has not shown an important countervailing interest in records for that period. On <u>Motion 2</u>, to the extent that the RFPs at issue purport to extend to non-parties, the Motion is DENIED. Otherwise, for the reasons discussed above, the Motion is GRANTED as to RFP No. 11, except to the extent that it potentially extends to Plaintiffs’ tax records, but DENIED as to RFP No. 13. Defendant’s evidentiary objections, filed as ROA 141, are SUSTAINED [lack of foundation, best evidence, hearsay]. Plaintiffs are to provide verified supplemental responses in accordance with the foregoing rulings, along with a further production for any remaining responsive non-privileged documents, within 25 days after service of notice of these rulings. Counsel for Defendant is ordered to give notice of this ruling.
7	30-2022-01291617 Johnson vs. Bruns	The Demurrer to the Verified Shareholder Derivative Complaint filed by Defendant Kendal Bruns, erroneously sued as Kendall Bruns (“Defendant”) is SUSTAINED with 20-days leave to amend as to the fifth cause of action and OVERRULED as to all other causes of action. Defendant demurs generally to the entire complaint based on Corporations Code § 800(b)(2) and Plaintiff’s failure to bring his demands to the board. Corporations Code § 800(b)(2) provides that plaintiff must alleges with particularity “plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort.” To evaluate a demand futility claim in a shareholder derivative action, court must be apprised of facts specific to each director from which it can conclude that that particular director could or could not be expected to fairly evaluate claims of shareholder. (<i>Shields v. Singleton</i> (1993) 15 Cal.App.4th 1611.) Here, Plaintiff alleges he made no demand on the board “for the reason that such a demand would be futile in that there are only two directors and two co-equal shareholders, and Defendant Bruns knew of and participated in the wrongs alleged in this Complaint.” (Complaint ¶ 6.) Plaintiff has sufficiently pled futility in bringing his demand to the board, as the only two